INCOME TAX

Coming back to direct taxes, we saw that direct taxes are mainly of two types – Income Tax and Wealth Tax. In India, wealth taxes have been abolished. So our majority discussion will be about income taxes going forward. Lets get started with Income Taxes. Firstly, we need to understand two key terms and the difference between the two i.e. earned income and taxable income.

EARNED INCOME

Earned Income is the sum total of all the incomes that you have from all the sources combined. You got something from rental income, something from dividends, salary, interest income etc. All that we have earned in the year, irrespective of their tax treatments. Here, some income may be taxed, some may not be.

TAXABLE INCOME

Taxable Income refers to that part of earned income that is identified as income in the government's eyes. Income tax is calculated based on taxable income. Earned income after adjusting all the tax benefits (i.e. exemptions and deductions) is the taxable income.

EARNED INCOME	-	TAX BENEFITS	=	TAXABLE INCOME
All income that you have earned		Exemptions & Deductions i.e. generally reduce taxable income and tax burden		Amount at which tax rate is levied

For instance, dividends were not taxed in India till 2020. That meant, if you received dividends, it will be included in Earned Income but not included in Taxable Income. So, you do not need to pay taxes on dividends because it is not a part of the taxable income i.e. it is not an income in the government's eyes.

When dealing with financial plan relating to taxes, the net effect on Taxable Income is what we will focus on going forward. Also, note that currently in India, every individual has a choice to opt for either one of two tax regimes. The old tax regime that existed for years or the newer one that has been introduced in the budget for FY21. Know that these tax rates may change with each budget. A simple Google search on"Current Tax Slabs in India" will inform us regarding the same.